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JUDGMENT SHEET

LAHORE HIGH COURT LAHORE

(JUDICIAL DEPARTMENT)

Writ Petition No.1269 of 2026

Muhammad Hafeez

Versus

Govt. of the Punjab through Secretary Home Department Civil
Secretariat, Lahore and others

Petitioners by:- Rao Shahbaz Khan, Advocate. (W.P.
Nos.1269-26, 3456-26)
Ch. Amjad Hussain Sindhu, Advocate. (W.P.
Nos.3215-26, 4924-26, 3655-26, 3658-26)
Mr. Muhammad Nadeem Abbasi, Advocate. (W.P.
No.4924-26)
Nemo for the petitioner (W.P. No.2685-26)

Respondents by: Mr. Qamar Hanif Ramay, Assistant
Attorney General for the Federation.
Mr. Mohammad Osman Khan, Assistant
Advocate General, Punjab.

Date of hearing: - **26.01.2026**

JUDGMENT

RAHEEL KAMRAN, J.: This judgment shall decide the titled Writ Petition as well as Writ Petition Nos.2685 of 2026, 3215 of 2026, 3456 of 2026, 4924 of 2026, 3655 of 2026 and 3658 of 2026 for all the petitions filed under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 (“the Constitution”) raise a common controversy. In essence, the petitioners assail the respondents’ actions whereby, on the assertion that the petitioners have not obtained Form-K for storage of petroleum, the petitioners’ petrol pumps have either been sealed or are threatened to be sealed.

W.P. No.1269 of 2026

2. There is a written request for adjournment on behalf of learned counsel for the petitioner in Writ Petition No.2685 of 2026 on account of his personal exigencies, which is turned down inasmuch as arguments at length have been heard in connected matters. It is further observed that in W.P. No.4924 of 2026 notice has not been issued so far. However, with the concurrence of the learned counsel for the parties, said petition is also treated as a “Pacca” case and is accordingly decided on merits along with the remaining petitions.

3. Stance of the learned counsel for the petitioners is that the petitioners are running lawful business after obtaining requisite permissions from the concerned departments. It is contended that the impugned sealing/threatened sealing and the notices/orders are without lawful authority, arbitrary and *coram non judice*, as the question of “Form-K” and allied regulatory compliance falls within the exclusive statutory domain of OGRA and its notified officers, hence a Price Control Magistrate/District Administration or PERA officials have no jurisdiction to take coercive action on that basis. It is further argued that issuance of Form-K is obligation of the concerned Oil Marketing Company under the Dealership Agreement as well as under the OGRA Ordinance, 2002 and the Pakistan Oil Rules, 2016, and any delay or failure in its issuance is attributable to the oil marketing company, therefore, the petitioners cannot be penalized for the omission of a third party, nor can adverse consequences be drawn from non-renewal alleged to have occurred for that reason. Learned counsel also submits that no OGRA team was associated and no authorization/notification or technical inspection report of OGRA was produced before taking the impugned action and that, even otherwise, the alleged deficiencies, if any, could at best warrant a notice for rectification or a lesser statutory measure, rather than the extreme and disproportionate step of sealing. It is lastly maintained that the petitioners were neither served with a proper show-cause notice nor afforded an opportunity of hearing or reasonable time for compliance, rendering the action violative of due process and

the principles of natural justice, besides infringing the petitioners' fundamental rights guaranteed under Articles 4, 9, 18, 23, 24 and 25 of the Constitution.

4. Conversely, learned Assistant Attorney General for the Federation of Pakistan and learned Assistant Advocate General, Punjab have resisted these petitions. Learned Assistant Advocate General, Punjab contended that Form-K is not a mere formality but a statutory storage licence issued by the Department of Explosives under the Petroleum Act, 1934 read with the Petroleum Rules, 1937 for storage of petroleum in tanks installed at retail outlets, and that no person can lawfully store/sell petroleum to the public without such licence, as the statute expressly prohibits storage and sale except in accordance with the rules. It is submitted that, for grant/renewal of Form-K, the prescribed mechanism requires, *inter alia*, processing through the concerned Oil Marketing Company having a valid OGRA marketing licence and quota, submission of the prescribed application (Form-D) with complete site particulars and storage capacity, payment of fee, provision of requisite safety drawings/plans as envisaged under the Rules, therefore, in the absence of a valid Form-K (or where the same has expired), continued operation of the petrol pump amounts to illegal storage attracting penal consequences. It is further argued that the District Administration is not acting as a regulator in place of OGRA, rather, under the Petroleum Act, the Deputy Commissioner/authorized officer is empowered to take enforcement action, including sealing/closure of facilities found storing or selling petroleum products without a valid licence or with an expired/cancelled licence, and that such action is intended to ensure public safety and statutory compliance. Learned law officers also submit that the petitioners' plea of shifting responsibility to the oil marketing companies does not legalize continued storage/sale in the interregnum, as the obligation to ensure that the retail outlet is operating with a valid storage licence cannot be dispensed with on account of private arrangements. Learned Assistant Attorney General for the Federation of

Pakistan adopted the above submissions and urged that since an adequate statutory regime exists for grant/renewal of the licence and for recourse against any failure/refusal by the licensing authority, the impugned actions do not call for interference in constitutional jurisdiction.

5. I have heard the learned counsel for the petitioners as well as learned Law Officers and with their able assistance, have also examined the relevant statutory provisions and rules.

6. The main point pressed by the petitioners is that the District Administration had no lawful authority to proceed against retail outlets for want of Form-K and therefore, the impugned action is without jurisdiction. This contention, on a plain reading of the Petroleum Act, 1934 (hereinafter, “the Act, 1934”) and the Petroleum Rules, 1937 (hereinafter, “the Rules, 1937”), is misconceived and cannot be accepted. The statutory framework regulating the import, transport and storage of petroleum is embodied in the Act, 1934 and the Rules, 1937. Section 2 (a) of the Act, 1934 defines petroleum as *any liquid hydrocarbon or mixture of hydrocarbons, and any inflammable mixture (liquid, viscous or solid) containing any liquid hydrocarbon*. Petroleum has been further categorized as petroleum class A¹, petroleum class B² and petroleum class C³, which classification is based on flashpoint⁴ of a particular petroleum. Section 3(1) of the Act, 1934 provides that activities of import, transport and storage of petroleum must comply with rules made under Section 4. For facility of reference, Section 3(1) *ibid* is reproduced below:

“3. Import, transport and storage of petroleum.---(1) No one shall import, transport or store any petroleum save in accordance with the rules made under section 4.

¹ Petroleum having flashpoint below twenty-four degrees centigrade.

² Petroleum having flashpoint of twenty-four degrees centigrade and above, but below fifty-five degrees centigrade.

³ Petroleum having flashpoint of fifty-five degrees centigrade and above, but below ninety-three degrees centigrade.

⁴ “flashpoint” of any petroleum means the lowest temperature at which it yields a vapour which will give a momentary flash when ignited, determined in accordance with the provisions of Chapter II and the rules made thereunder.

(2) ----

The statutory command is unambiguous that petroleum may be stored and sold only in the manner and subject to the conditions prescribed by the Rules framed under the Act, 1934. It is a settled principle that where the law prescribes that a thing is to be done in a particular way, it must be done in that way and not otherwise. Consequently, adherence to the licensing regime is mandatory and not a matter of choice. In this context, Section 2(i) of the Act, 1934 is also material, as it defines “illegal sale of petroleum” to mean the sale of petroleum products without a valid storage licence granted under the Act and the rules made thereunder. Consistent with this scheme, the Rules, 1937 repeatedly underscore the requirement of a storage licence, in particular, Rule 29 assumes central importance as it places a restriction upon the delivery and dispatch of petroleum to any person other than the holder of a storage licence (or his authorized agent), subject to the limited exceptions provided therein. For ready reference, Rule 29 of the Rules, 1937 is reproduced below:

“29. Restriction on delivery and dispatch of petroleum.—(1) *No person shall deliver any petroleum to any one in Pakistan other than the holder of a storage licence or his authorized agent or a Port Authority or railway administration.*
 (2) *No person shall dispatch any petroleum to any one of Pakistan other than the holder of a storage licence.*
 (3) *Notwithstanding anything contained in sub-rule (2) non-dangerous petroleum not exceeding 3,000 gallons in quantity packed in sealed air tight tins or drums of steel or iron may be dispatched to a person not holding a storage licence, provided that the person dispatching the petroleum had satisfied himself that prior arrangements have been made by the person to whom the petroleum is dispatched for the immediate disposal in the original packages of any quantity exceeds of 500 gallons.*
 (4) *This rule shall not apply to the delivery or dispatch of petroleum in quantities which are permitted by the Act or these rules to be stored without licence, or to any petroleum in the possession of Pakistan forces.”*

7. Nevertheless, the statutory scheme does recognize limited exceptions to the requirement of a storage licence. Such exemptions are set out in sections 7, 8 and 9 of the Petroleum Act, 1934, as well as rule

109 of the Petroleum Rules, 1937. For completeness and ready reference, the said provisions are reproduced hereunder:

“7. No licence needed for small stocks of petroleum class B not in bulk.--- Notwithstanding anything contained in this Chapter, a person need not obtain a licence for the transport or storage of petroleum class B if the total quantity in his possession at any one place does not exceed five hundred gallons and none of it is contained in a receptacle exceeding two hundred gallons in capacity.

8. No licence needed for small quantities of petroleum class A.---(1) Notwithstanding anything contained in this Chapter, a person need not obtain a licence for the import, transport or storage of petroleum class A not intended for sale if the total quantity in his possession does not exceed thirty litres.

(2) Petroleum class A possessed without a licence under this section shall be kept in securely stoppered receptacles of glass, stoneware or metal which shall not in the case of receptacles of glass or stoneware exceed one litre in capacity or in the case of receptacles of metal twenty-five litres.

9. Exemptions for motor conveyances and stationary engines.---(1) The owner of a motor conveyance, who complies with requirements of the law for the time being in force relating to the registration and licensing of such conveyance and its driver or pilot and the owner of any stationary internal combustion engine, shall not be required to obtain a licence---

(a) - - - -

(b) - - - -

Rule 109. Exemption of heavy petroleum.---(1) Notwithstanding anything contained in these rules, it shall be permissible to store without licence subject to the conditions of this Chapter, petroleum in quantities not exceeding 10,000 gallons, which is not stored in the same installation or storage shed as other petroleum.

(2) The provisions of Chapter IV shall not apply to petroleum so permitted to be stored without licence under sub-rule (1) ”

When these statutory exemptions are examined against the relevant criteria i.e. namely the class of petroleum (by reference to flashpoint), the quantity permitted, and the purpose for which storage is allowed, it becomes evident that they do not extend to an ordinary retail filling station/petrol pump. The relaxation contained in section 7 pertains only to limited stocks of petroleum Class B, i.e., petroleum having a flashpoint of twenty-four degrees centigrade and above. Section 8, though dealing with petroleum Class A, permits only a very small quantity and in any event, is confined to petroleum not intended for sale.

Section 9 provides an exemption in a different field altogether i.e. petroleum kept in motor conveyances and stationary engines. Likewise, rule 109 relates to “heavy petroleum” with a comparatively high flashpoint, generally understood to include products such as fuel oils and lubricants rather than motor spirit and high-speed diesel stored in bulk at retail outlets. Furthermore, even while acknowledging these limited exceptions, rule 90 of the Rules, 1937 reiterates the general prohibition against storing petroleum without a licence⁵. Read together with section 3 of the Act, 1934, these provisions admit of no doubt that possession of a valid storage licence is a condition precedent for the lawful storage and sale of petroleum products.

8. In addition to being an express statutory requirement, the insistence on a valid storage licence for a retail fuel station rests on a clear and compelling regulatory logic. Petroleum, particularly motor spirit and high-speed diesel stored in underground tanks and handled through dispensers, is an inherently hazardous commodity. Its storage in bulk creates a constant, latent risk of fire, explosion and rapid propagation of harm to life and property. The licensing regime operates as an *ex ante* safety filter. Before petroleum is permitted to be kept at a site for commercial sale, the competent authority is required to satisfy itself through scrutiny and inspection that the installation conforms to prescribed engineering and safety parameters such as the suitability and integrity of tanks, vents and pipelines, spill containment and leak prevention arrangements, electrical safety and earthing to reduce ignition from static or short-circuits and the adequacy of fire-fighting and emergency response measures. Equally, the regime ensures that the outlet is appropriately situated with reference to mandatory safety clearances and surrounding land use so that a high-risk installation is not introduced into a prohibited or unsafe locality. The storage licence also serves broader public-interest functions that cannot be achieved through

⁵ Save as provided in Sections 7, 8 and 9 of the Act by rule 109 no one shall store any petroleum except under a licence granted under these rules.

private arrangements alone. It provides a verifiable legal basis for ongoing regulatory oversight, periodic inspections and enforceable conditions, thereby fixing responsibility on the operator for continuous compliance rather than one-time approvals. It enables the State to maintain an accurate inventory of lawful storage locations and capacities, discourages clandestine storage and unsafe expansion of tankage and reduces the likelihood of malpractice such as unauthorized storage, adulteration or irregular handling practices that magnify safety and environmental hazards. Further, by tying lawful storage to a formal licence, the law protects the public and the environment from the consequences of leaks and spills that can contaminate soil and groundwater and can persist long after the immediate incident. In this sense, the storage licence is not a technical formality rather it is the legal instrument through which the statute operationalizes risk management, accountability and preventive safety in a sector where the margin for error is narrow and the potential harm is grave.

9. As regards the procedure for obtaining/renewing a licence, Rules 114 and 115 of the Rules, 1937 state:

114. Application for licence—(1) *A person wishing to obtain or renew a licence prescribed under these rules shall submit an application in writing to the authority empowered to grant such a licence.*

(2)----

(3)----

115. Grant of licence—(1) *Licences for importation and storage may be granted by the licensing authorities set forth in Schedule I in the forms, for the purposes, and on payment of the fees, specified therein.*

(2)----

(3)----

It is not in dispute that for retail outlets dispensing petroleum to motor vehicles through pump outfits, the relevant licence contemplated by Schedule I is the licence in Form-K (issued by the Department of Explosives), i.e., a licence specifically for storage in tanks in connection with pump outfit for fuelling motor conveyance. The petitioners' case is

substantially built on shifting the burden upon the Oil Marketing Companies (OMCs) and Oil and Gas Regulatory Authority (OGRA). Even if, for the sake of argument, it is assumed that an OMC is contractually obliged to facilitate documentation, such private arrangements cannot override the statutory command contained in section 3 of the Act, 1934 read with Rules 29 and 90 of the Rules, 1937. In other words, the absence of Form-K (or its expiry) cannot be cured by blaming a third party, because the law itself prohibits storage except under a valid licence.

10. Adverting now to the pivotal objection of lack of jurisdiction, the same stands squarely answered by the legislature itself. By the Petroleum (Amendment) Act, 2025, the Act, 1934 has been materially strengthened through insertion of Sections 23(3A), 23(3B) and 23(3C), whereby the powers of on-ground enforcement i.e., sealing/closure of illegal facilities and confiscation in specified situations, have been expressly vested in the Deputy Commissioner and, where duly authorized, an officer not below the rank of Assistant Commissioner. These provisions create a direct statutory mandate that (i) a facility storing and selling petroleum to the general public without obtaining the requisite prior licence in terms of the rules is liable to sealing and confiscation; (ii) where the storage licence in Form-K has expired or stands cancelled, the facility may be afforded the prescribed grace period to secure renewal, failing which it becomes liable to closure and confiscation; and (iii) premises involved in storage or sale of smuggled petroleum products are similarly exposed to closure and confiscation, alongside other stipulated consequences. For reference, newly inserted are reproduced below:

“(3A) Any facility used for storage and selling of petroleum products to general public, without having obtained prior license thereof from relevant authority in terms of rules made under section 4, shall be liable to sealing and all machinery, equipment, materials, storage tanks, receptacles and petroleum products being employed or sold therein shall be liable to confiscation by the Deputy Commissioner or any

officer authorized by him not below the rank of Assistant Commissioner, as the case may be and the owner thereof shall fine of ten million Rupees.

(3B) Any facility selling petroleum products whose license for storage granted by the Department of Explosives in form K, under the rules made in terms of section 4, has either expired or cancelled shall be allowed a grace period of six months, from the date of expiry or cancellation of such license, to get the license renewed or restored under the applicable laws failing which such facility shall be liable to closure and all machinery, equipment, material, storage tanks, receptacles and petroleum products being employed or sold therein shall be liable to confiscation by the Deputy Commissioner or any officer authorized by him not below the rank of Assistant Commissioner as the case may be and the owner thereof fine of one million Rupees:

Provided that the Department of Explosives shall renew the license within one month from the date of receipt of the application, required documents, and the prescribed fee. If the concerned officer fails to renew the license within the stipulated period, he shall record, in writing, the reasons for such delay:

Provided further that an appeal against the refusal or failure to renew a license shall lie to the Secretary of the Petroleum Division. Appeal may be filed within thirty days from the date of the announcement of the decision of the officer concerned.

(3C) Any premises or facility and its owner licensed in terms of rules made under section 4 that is found to be involved in the storage or sale of smuggled petroleum products shall be liable to closure and all machinery, equipment, materials, storage tanks and petroleum products being employed or sold therein shall be liable to confiscation by the Deputy Commissioner or any officer authorized by him not below the rank of Assistant Commissioner, as the case may be, and a fine of hundred million Rupees, and the Department of Explosives shall cancel the license of such premises or facility, as the case may be.”

(Emphasis supplied by this Court)

In other words, the Act does not leave enforcement in this sphere to implication or administrative convenience rather it positively confers coercive powers upon the District Administration subject to the scheme and safeguards specified in the Act and the Rules. This legislative design is further consistent with Rule 131 of the Rules, 1937, which obliges the District Authority not only to act upon infringements but also to communicate the action taken to the Chief Inspector/Director General of Explosives thereby embedding the District Authority within the statutory

chain of enforcement and oversight rather than treating it as an external actor.

11. The upshot is that the petitioners' foundational premise i.e., that only OGRA/notified officers can act and the District Administration is wholly denuded of powers, is legally untenable. OGRA's role regarding marketing/licensing of OMCs is distinct, however, storage at retail outlets for public sale is regulated by the Petroleum Act/Rules, and enforcement powers under section 23 are expressly vested in the District Administration.

12. As regards the petitioners' grievance on delay in issuance/renewal, the statute itself provides a timeline. The proviso to section 23(3B) obliges the Department of Explosives to renew the licence within one month from receipt of application, required documents and prescribed fee, and to record reasons in writing in case of delay. It also provides a remedy of appeal to the Secretary, Petroleum Division against refusal/failure. Therefore, where an applicant has approached the competent authority with complete documents and fee, the application is to be decided strictly within the statutory framework.

13. In the totality of circumstances, the impugned action is traceable to statutory powers and the petitioners have failed to demonstrate lack of jurisdiction. However, if any of the petitioners' facility selling petroleum products whose license for storage granted by the Department of Explosives in Form K, under the rules made in terms of section 4, has either expired or cancelled, it is entitled to a grace period upto six months, from the date of expiry or cancellation of such license, to get the license renewed or restored under the applicable law and during such grace period, no coercive action against such facility can be taken by the Deputy Commissioner or any officer authorized by him not below the rank of Assistant Commissioner in disregard or violation of section 23(3B) *ibid* if properly documented representation in that regard is made to the concerned Deputy Commissioner.

W.P. No.1269 of 2026

It is clarified that the above protective direction shall not extend to, or immunize, any petrol pump/outlet found lacking any other mandatory permission/licence/documentation or involved in any other violation (including, but not limited to, sale/storage of smuggled petroleum products, safety breaches, or non-compliance of other statutory requirements). In such situations, the authorities shall be at liberty to proceed strictly in accordance with law.

14. For the foregoing reasons, these petitions are disposed of being bereft of merit.

(RAHEEL KAMRAN)
JUDGE

*Announced in the open Court on **03.02.2026***

JUDGE

Approved for reporting.

JUDGE

*Azhar**